

FINAL EXECUTIVE REPORT

Integrated Business Performance, MIS Automation & Data Analytics

Management Objective

Identify why strong revenue is not translating into consistently healthy profitability, collections, inventory efficiency and customer performance, and define the actions management should take.

Prepared from the completed data-quality, SQL, Python, statistical, forecasting, MIS, exception-management and Power BI analysis.

1. Executive Summary

The business generated **INR 405.11M revenue** and **INR 106.82M profit**, producing an overall margin of **26.37%**. Revenue scale is therefore not the central problem. Cash conversion, inventory utilization, product profitability, regional momentum and operational controls are the major risks.

The most urgent issue is receivables. Total outstanding is **INR 239.66M**; **INR 234.02M (97.65%)** is more than 90 days old, and **INR 129.06M** is in the 365+ day bucket. There are 433 Critical and 144 High-Risk customers.

Inventory is the second major exposure. Closing inventory is approximately **INR 1.93B**, turnover is **0.67**, and days inventory is **541.65**. Seventy-five products are overstocked, while 3,041 stockout days were also recorded.

Slow-moving products hold approximately **INR 578.21M** of stock value.

Profitability is uneven. Fourteen products are Critical negative-profit exceptions after product cost, discount and returns. Discounting has a statistically significant negative relationship with profit margin ($r = -0.5577$, p approximately 0). Electronics has the lowest category margin at approximately 20.46%.

Operational performance also requires intervention. Jaipur North and Pune West recorded latest-month sales declines of 67.77% and 52.50%. Supplier on-time delivery is 17.84%, employee attendance is 79.01%, and 452 of 688 complaints breached SLA.

Management should prioritize collections and credit control, inventory optimization, negative-profit product correction, regional recovery, supplier SLA enforcement, employee productivity, complaint resolution and data governance. The refresh-driven Power BI MIS should be used as the recurring control layer.

2. Key Findings

Finding	Evidence
Revenue and profit	Revenue INR 405.11M; profit INR 106.82M; margin 26.37%.
Receivables exposure	Outstanding INR 239.66M across 2,108 invoices.
Aged debt	INR 234.02M, or 97.65% of outstanding, is more than 90 days old.
Very old debt	INR 129.06M is in the 365+ day bucket, equal to 53.85% of outstanding.
Customer credit risk	433 Critical customers and 144 High-Risk customers.
Inventory efficiency	Inventory INR 1.93B; turnover 0.67; days inventory 541.65.
Overstock	75 products are overstocked; slow-moving stock value INR 578.21M.
Product profitability	14 products are Critical negative-profit exceptions.
Regional deterioration	Jaipur North -67.77% and Pune West -52.50% latest-month growth.
Supplier performance	On-time delivery 17.84%; six purchasing suppliers Critical.
Employee productivity	Attendance 79.01%; 88 attendance exceptions below 85%.
Customer service	452 of 688 complaints breached SLA; compliance 34.30%.
Marketing	Overall ROI 186.58%; Email 150.45% is weakest; Referral 222.63% is strongest.
Data quality	23,947 raw records; 23,642 valid; DQ 98.73%; 732 failed relationship references.
Forecast risk	Sep-Nov 2026 forecast achievement is approximately 67.5%-68.0%.

3. Root Cause Analysis

Profitability pressure

Discounting, returns, product cost and low-margin mix reduce realized profit. Fourteen products become loss-making after return-adjusted economics.

Weak cash conversion

Applied collections cover about 48.13% of billing and 2,108 invoices remain outstanding. The age profile indicates a structural collection problem.

Inventory imbalance

Purchasing and replenishment are not sufficiently aligned with demand. Overstock and stockout conditions coexist.

Regional inconsistency

Company-level revenue masks sharp regional differences, especially recent contractions in Jaipur and Pune.

Supplier unreliability

Low on-time delivery, rejected quantities and poor supplier scores increase operating friction and working-capital inefficiency.

Workforce and service execution

Attendance below target and high complaint-SLA breach rates indicate process and execution issues.

Data governance gaps

Orphan IDs and failed master-data relationships can distort analysis unless validated before loading.

4. Financial Impact

Impact Area	Quantified Exposure / Indicator
Revenue loss / target gap	2026 monthly sales remain below targets; Sep-Nov forecast achievement is only about 67.5%-68.0%, indicating continuing shortfall risk versus plan.
Profit loss	14 products are negative-profit Critical exceptions. Examples: P0067 -INR 147,637; P0079 -INR 125,005; P0137 -INR 121,490; P0005 -INR 112,431; P0078 -INR 103,631.
Outstanding amount	INR 239,658,854.62 outstanding; INR 234,020,773.56 is >90 days; INR 129,057,737.13 is 365+ days.
Excess inventory	75 products overstocked. Total inventory INR 1,930,404,121.46; slow-moving stock INR 578,207,411.65.
Return impact	High-return products: P0083 20.92%, P0078 20.66%, P0100 19.95%, P0109 19.28%, P0113 18.01%. Returns materially erode product economics.

Interpretation: Where an exact monetary loss is supported, it is reported. Where the analysis does not support one defensible aggregate loss amount, the measured exposure or indicator is used rather than inventing a value.

5. Actionable Recommendations

1. Accelerate overdue collections

Problem / Evidence: INR 239.66M outstanding; 97.65% is >90 days.

Action: Create collection owners, automated aging alerts, escalation milestones and weekly recovery reviews.

Expected Impact: Improve cash conversion and reduce bad-debt exposure.

2. Control very old receivables

Problem / Evidence: INR 129.06M is 365+ days overdue.

Action: Perform customer-by-customer recovery assessment; use settlement, legal escalation, credit hold or write-off review as appropriate.

Expected Impact: Reduce locked receivables and improve balance-sheet quality.

3. Optimize inventory

Problem / Evidence: Inventory INR 1.93B; turnover 0.67; 541.65 days inventory.

Action: Reset reorder levels using demand velocity; reduce slow-moving replenishment and rebalance stock.

Expected Impact: Release working capital and improve turnover.

4. Reduce overstock

Problem / Evidence: 75 products overstocked; slow-moving value INR 578.21M.

Action: Create clearance, transfer, bundle or purchasing-freeze actions.

Expected Impact: Reduce carrying cost and excess-stock exposure.

5. Correct negative-profit products

Problem / Evidence: 14 products are Critical negative-profit exceptions.

Action: Review price, product cost, discount, returns and supplier economics; discontinue or reprice persistent losses.

Expected Impact: Protect margin.

6. Tighten discount governance

Problem / Evidence: Discount vs profit margin $r=-0.5577$ and statistically significant.

Action: Introduce approval thresholds and minimum-margin rules.

Expected Impact: Reduce margin leakage.

7. Recover weak regions

Problem / Evidence: Jaipur -67.77% and Pune -52.50% latest-month growth.

Action: Run regional product/customer/employee diagnostics and set 30/60/90-day recovery targets.

Expected Impact: Restore sales momentum.

8. Improve supplier SLA

Problem / Evidence: On-time delivery 17.84%; six purchasing suppliers Critical.

Action: Use supplier scorecards, corrective plans, SLA enforcement and alternate sourcing.

Expected Impact: Reduce delays, stockouts and quality risk.

9. Improve attendance/productivity

Problem / Evidence: Attendance 79.01%; 88 employees below 85%.

Action: Review repeated absence/lateness, coach employees and track productivity monthly.

Expected Impact: Improve workforce availability.

10. Fix complaint SLA

Problem / Evidence: 452 of 688 complaints breached SLA; compliance 34.30%.

Action: Assign case owners, escalation timers and weekly root-cause review.

Expected Impact: Improve customer experience.

11. Reallocate marketing budget

Problem / Evidence: Email ROI 150.45% lowest; Referral 222.63% highest.

Action: Optimize low-performing campaigns and test controlled budget shifts.

Expected Impact: Improve marketing return.

12. Strengthen data governance

Problem / Evidence: DQ 98.73%, but 732 failed relationship references.

Action: Automate PK/FK checks, quarantine orphan transactions and publish a DQ exception report.

Expected Impact: Increase trust in automated MIS.

6. Management Priority and Monitoring

Priority sequence: **(1) collections and credit risk, (2) inventory and working capital, (3) product profitability, (4) regional recovery, (5) supplier and workforce execution, (6) customer-service SLA, and (7) data governance.**

The completed Power BI MIS should be refreshed whenever source data changes so KPIs, trends, rankings and management exceptions recalculate automatically. The Management Exceptions page should remain the operating control panel, with Critical issues addressed before High and Medium priorities.